A. EXECUTIVE SUMMARY

EXECUTIVE SUMMARY

Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Gonzaga for the year ended December 31, 2014, with comparative figures for CY 2013, are as follows:

	2014	2013	Increase (Decrease)
Financial Condition			
Total Assets	P267,768,923.65	P233,932,468.89	P33,836,454.76
Total Liabilities	25,834,689.30	20,265,353.49	5,569,335.81
Total Government Equity	241,934,234.35	213,667,115.40	28,267,118.95
Results of Operation			
Total Income	144,902,268.38	162,884,147.62	(17,981,879.24)
Total Expenses	103,080,422.24	108,022,132.10	(4,941,709.86)
Appropriations, Allotments and Obligations			
Appropriations - Current	155,926,680.30	157,765,345.21	(1,838,664.90)
Appropriations - Continuing	9,133,077.52	27,795,950.19	(18,662,872.67)
Allotments - Current	155,926,680.30	157,765,345.21	(1,838,664.90)
Allotments - Continuing	9,133,077.52	25,812,901.04	(16,679,823.49)
Obligations – Current	104,396,289.37	141,306,450.91	(36,910,161.60)
Obligations – Continuing	5,803,787.49	21,031,270.35	(15,227,482.86)

The table above shows that the Municipality's assets, liabilities and government equity as of December 31, 2014 were P267,768,923.65, P25,834,689.30 and P241,934,234.35 with an increase of 14%, 27% and 26%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P144,902,268.38 and P103,080,422.24 which decreased by 11% and decreased by 5%, respectively, from last year's figures.

Comparative Statement of Fund Transfers to Other NGAs and LGUs are as follows:

	2014	2013	Increase (Decrease)
Funds Transferred to Other Agencies:			
Due to Other NGAs	2,243,294.38	1,193,396.53	(5,855,895.52)
Due to LGUs	1,975,466.15	1,133,506.09	160,894.76
TOTAL	1,364,735.65	7,059,736.41	(5,695,000.76)

Funds transferred by the Municipality to Other Agencies amounted to P4,218,760.53 with an increase of 81% from last year's figures. There were no funds transferred from Other Agencies for the years 2014 and 2013.

A. Operational Highlights

For the year 2014, the Municipality of Gonzaga appropriated the total amount of P155,926,680.30 of which P104,396,289.37 has been obligated as of year-end. Continuing appropriations for the year amounted to P9,133,077.52 which had a remaining balance of P3,329,290.03 as of year-end (see Annex 2).

The significant accomplishments of the Municipality during the year 2014 were as follows:

NAME OF PROJECT	SOURCE OF FUND	PROJECT COST	STATUS OF IMPLEMENTATION
1. Concreting of Barangay Road			
a. Sta. Maria	20% Development Fund	480,997.05	100% Completed
b. Magrafil	20% Development Fund	478,966.72	100% Completed
c. Sta. Clara	20% Development Fund	482,490.00	100% Completed
d. Caroan	20% Development Fund	478,913.78	100% Completed
e. Cabiraon	20% Development Fund	482,492.77	100% Completed
f. San Jose	20% Development Fund	435,426.00	100% Completed
2. Rehabilitation of Farm to Market Roads (FMR)			
a. Tapel	BUB-DILG	1,107,155.56	100% Completed
b. San Jose	BUB-DILG	1,109,389.30	100% Completed
c. Pateng	BUB-DILG	1,110,533.55	100% Completed
3. Improvement/Concreting of FMR			
a. Tabungao (Phase II)	20% Development Fund	2,872,018.30	100% Completed
b. Cabanbanan Sur-Rebecca	20% Development Fund	2,828,792.00	100% Completed
4. Ground Improvement of Gonzaga Riverview Resort	20% Development Fund	1,929,148.69	100% Completed

	Hotel (GRRH)			
5.	Construction of GRRH Function Hall (Phase II)	20% Development Fund	1,445,249.30	100% Completed
6.	Construction of 28 Units Public Market Stalls (Phase I)	20% Development Fund	5,794,008.30	100% Completed
7.	Construction of Public Market Food Court (Phase II)	20% Development Fund	960,633.91	100% Completed
8.	Concreting of Public Market Road & Sidewalks	20% Development Fund	1,054,427.18	100% Completed
9.	Construction of Drainage Canal at Luis Baclig & Rizal Streets	20% Development Fund	1,443,691.41	100% Completed
10.	Road Concreting & Drainage Canal Construction at Imperio & Luis Baclig Sts.	20% Development Fund	674,807.39	100% Completed
11.	Road Concreting & Drainage Canal Construction-Smart (Phase II)	20% Development Fund	672,425.30	100% Completed

B. Scope of the Audit

A financial and compliance audit was conducted on the operations of the municipal government of Gonzaga, Cagayan for the year ended December 31, 2014. The audit was made in accordance with generally accepted and prescribed government auditing standards, and accordingly included such tests of accounting records and such other auditing procedures as we considered necessary under the circumstances. The audit consisted of review of operating procedures, processes and practices being done by the municipality, the books of accounts and subsidiary records and the reliability of the financial reports. Financial transactions, accounts and reports were examined to ascertain the extent of compliance with laws, rules and regulations and budgetary requirements with due regard to economy, efficiency and effectiveness of its operations.

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the financial statements of the Municipality of Gonzaga due to the effects of failure of the agency to conduct physical inventory of its *Property, Plant and Equipment* with net book value amounting to P183,294,559.93 as of year-end.

D. Significant Findings and Recommendations

Financial and Compliance Audit

1. **Collections totaling P1,479,747.72 was not deposited at the end of the year in violation of COA Circular No. 92-382 dated July 3, 1992 and Section 32, Volume I of the Manual on the New Government Accounting System for Local Government Units.**

   We recommended that all collections of the municipality should be deposited intact and should be done regularly with its authorized depository bank pursuant to the aforementioned regulation. This is to avoid exposing the funds to the risk of loss, misapplication or misappropriation. Management must adopt alternative ways and measures to improve its cash management.

2. **The former Municipal Accountant did not submit Bank Reconciliation Statements for CY 2014 which is contrary to the provisions of Section 74 of Presidential Decree No. 1445 and Section 3.2 of COA Circular No. 96-011.**

   We recommended that the Municipal Accountant should regularly prepare and submit the monthly Bank Reconciliation Statements in compliance with P.D. No. 1445 and COA Circular No. 96-011. In doing so, appropriate adjustments shall be made to reconcile the bank and ledger balances and so with the cashbook balance of the Municipal Treasurer.

3. **The Municipal Accountant used the Due from Officers and Employees account instead of the Advances to Officers and Employees account in recording cash advances granted to employees for travels and other special time-bound undertaking which is not in accord with COA Accounting Circular No. 2006-001 and COA Accounting Circular Letter No. 2007-001, resulting in the misstatement of account balances in the financial statements.**

   We recommended that the Municipal Accountant should reclassify to Advances to Officers and Employees account the unliquidated cash advances at year-end relating to travels and other special time-bound undertaking. Moreover, she should now record said cash advances under the Advances to Officer and Employees account pursuant to COA Accounting Circular No. 2006-001 and COA Accounting Circular Letter No. 2007-001.

4. **The grant and liquidation of cash advances were not in accordance with the existing COA rules and regulations, thereby resulting in a balance of cash advances as of year-end totaling P854,045.03.**

   We recommended that the Municipal Mayor should require the concerned municipal officials and employees to cause the immediate liquidation of their cash advances. Moreover, the Municipal Mayor and the Municipal Accountant should

ensure strict compliance with the provisions of COA Circular Nos. 97-002 and 2012-001 as regards the grant and liquidation of cash advances.

5. **The validity, existence and correctness of the Property, Plant and Equipment accounts with net book value amounting to P183,294,559.93 as of December 31,2014 could not be ascertained due to failure of the agency to conduct annual physical inventory of properties as of year-end which is contrary to Section 156 of COA Circular No. 92-386.**

   We recommended to the Local Chief Executive to create a committee to conduct physical inventory of the properties of the municipality and to prepare a report thereon to be submitted to the Municipal Accountant for reconciliation with that of the accounting records, pursuant to the provisions of Section 156 of COA Circular No. 92-386 dated October 20, 1992. The report on unserviceable properties disposed should likewise be submitted to the accounting office for adjustment in the books of accounts.

6. **The municipality paid wages amounting to P9,454,835.29 in hiring an average of One Hundred Fifty Seven (157) contractual and job order personnel without clear and written Program/Policy Guidelines in hiring or engaging the services of contractual/casual/job order employees, which may result to excessive workforce, work duplication and eventual waste of financial resources.**

   We recommend that management formulate a Program/Policy Guidelines for contractual/casual/job order employees, taking into consideration the necessity of hiring and the reasonable number of contractual/casual/job order employees to be assigned in different offices in order to avoid excessive manpower and work duplication.

   The policy guidelines to be formulated shall not, in any way, restrict the manpower requirements needed in the delivery of vital services for the implementation of the various programs and activities of the municipality and will promote optimum utilization of financial resources.

7. **The municipality failed to submit complete accounts, disbursement vouchers and its supporting documents, contrary to COA Circular No. 2009-006 dated September 15, 2009, thus, casting doubt on the reliability of the recorded disbursements.**

   We recommended that management adhere strictly with the provisions of COA Circular No. 2009-006 dated September 15, 2009 for the complete submission of disbursement vouchers together with supporting documents.

8. **Liquidation reports on fund transfer from National Government Agency (Department of Agriculture) amounting to P5,175,323.32 for various**

programs implemented by the municipality were not liquidated and submitted despite completion of the project as of year-end, contrary to Section 3.1.2 of COA Circular No. 2012-01 dated June 14, 2012.

We recommended that management, fully adhere with the provisions Memorandum of Agreement (MOA) executed for the purpose and the documentary requirements on liquidation of fund transfer provided under COA Circular No. 2012-01 dated June 14, 2012.

9. **The municipality failed to advertise in a newspaper of general circulation the procurement of goods and services amounting to P5,590,000.00, in violation of Section 21.2.1 (a) of the 2009 Revised Implementing Rules and Regulations of RA 9184, thus, resulted to inadequate dissemination of bid opportunities in the procurement process and may not obtain the price most advantageous to the government.**

We recommended that Bids and Awards Committee comply with the prescribed bidding procedures on the requirement of advertisement in a newspaper of general nationwide circulation the Invitation to Bid to ensure transparency in government procurements and increase competition among suppliers to obtain the price most advantageous to the government. Moreover, management should adhere strictly with the provisions of RA 9184 in their procurement process.

Value for Money Audit

10. **Unexpended balance of Priority Development Assistance Fund (PDAF) received by the municipality for calendar year 2012 amounting to P129,534.07 were not reverted to the unappropriated surplus of the General Fund, contrary to Supreme Court Decision G.R. No. 209251 dated November 19, 2013 National Budget Circular No. 476-01 dated September 20, 2001.**

We recommended that management strictly comply with the Supreme Court decision and National Budget Circular No. 476-01 dated September 20, 2001 on the reversion of the unexpended balance to the unappropriated surplus of the general fund.

E. Status of Implementation of Prior Year's Audit Recommendations

Of the six (6) audit recommendations embodied in the 2014 Annual Audit Report, three (3) were fully implemented and three (3) were not implemented as shown in Part III of this report.